

Capital Investment Subsidy for Textile Units

DRAFT FOR REVIEW | SCHEME | D014

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Haryana's Capital Investment Subsidy for Textile Units supports qualifying investment across the textile value chain. The applicable benefit depends on what the unit manufactures, its block location and whether the investment is a new project, expansion, diversification or modernisation.

The scheme notified on 5 July 2023 under the Haryana AatmaNirbhar Textile Policy has a later amendment that matters to investment planning. The 2 May 2025 notification extends the policy and its schemes to 18 December 2026. It also removes the capital-subsidy limit on the number of cases, subject to the overall approved budget. An operative policy period is not confirmation that budget remains available for a particular application.

Identify the correct investment category

The 2023 scheme separates general textile units, technical textiles and specified import-substitution or backward-integration projects, open-end spinning and waste-to-fibre units, and textile machinery manufacturers. Anchor units have a further category with different conditions. A project should be classified on its product, process and qualifying investment before choosing an assistance rate.

For general textile enterprises, the notified capital support is 30% of eligible investment, capped at ₹2.5 crore in B blocks, and 35%, capped at ₹3.5 crore in C and D blocks. Other categories have different limits. These figures describe that category under the cited scheme; they are not a single rate for every textile project.

The notification also contains category-specific enhancements and eligibility rules. Claiming a higher category needs evidence of the actual activity or qualifying ownership, not merely wording added to the project report.

What is eligible capital investment?

The notification defines the cost base rather than using the project's total headline value. Relevant investment may include specified plant and machinery, factory buildings, laboratories and utilities. It excludes items such as land, land development, working capital and listed preliminary or general civil expenditure.

For an expansion, the scheme definition refers to investment exceeding 25% of the existing gross fixed capital investment and completion within the stated period. Establish the existing investment baseline and the new project scope before preparing the calculation. Routine replacement purchases should not be labelled as a qualifying expansion without that assessment.

Prepare the evidence before submission

Prepare a process description, itemised fixed-capital schedule, quotations and invoices, proof of payment, ownership and site records, commercial-production dates and the existing investment baseline where relevant. Match the project category to the technical evidence. For waste-to-fibre or technical textiles, explain what the finished material is and how it is produced.

The complete source pack should include the 2023 scheme, the 2025 amendments and the relevant implementation memorandum. Check the applicable application trigger, current portal process, budget position and restrictions on claiming other assistance on the same expenditure. Preserve inspection, sanction and disbursement records separately.

Is Haryana textile support the same as ATUFS?

No. [ATUFS](#) is a separate central programme with its own historic implementation period and claim records. A Haryana application cannot be assessed by copying an ATUFS rate.

Does the extension guarantee acceptance until December 2026?

No. It extends the operative period. Eligibility, application timing, budget and approval still need to be established for the project.

Official references

[Textile capital scheme, July 2023](#); [capital-scheme amendment, May 2025](#); [policy extension](#).

Discuss the next step

For help assessing the project and preparing the applicable subsidy work, see [Subsidy & Incentive Advisory](#).

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[Discuss your project](#). An expert consultant from Rapid will call you.

Source links

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1. Textile capital scheme, July 2023

<https://cdnbbsr.s3waas.gov.in/s3f48c04ffab49ff0e5d1176244fdb65c/uploads/2023/07/2023070672.pdf>

2. capital-scheme amendment, May 2025

<https://cdnbbsr.s3waas.gov.in/s3f48c04ffab49ff0e5d1176244fdb65c/uploads/2025/05/202505071181561535.pdf>

3. policy extension

<https://cdnbbsr.s3waas.gov.in/s3f48c04ffab49ff0e5d1176244fdb65c/uploads/2025/05/202505071229341788.pdf>